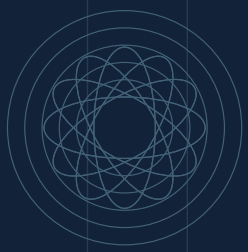
MONETARY REFORM / UNITED STATES

A Greenback Monetary Reform Act

A policy proposal to repeal the Federal Reserve Act of 1913 and establish Treasury-issued sovereign money

The Treasury issues non-interest-bearing United States Notes - modern Greenbacks - as legal tender. Treasury bills remain interest-bearing public debt and a complementary instrument for liquidity management, not a substitute for money itself.



PUBLIC MONEY / PUBLIC ACCOUNTABILITY

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A legislative and institutional design brief

Executive summary

This proposal places the power to issue the nation's base currency directly under public law through Treasury-issued Greenbacks. It begins from a greenbacker principle: money used by the public should be an explicit public liability, issued under democratic authority and disciplined by transparent rules, rather than depending solely on Federal Reserve Notes and the Federal Reserve System established in 1913.

The proposal would repeal or supersede the Federal Reserve Act only after Congress has enacted a complete replacement for the Federal Reserve's monetary, settlement, liquidity, currency-distribution and relevant supervisory functions. The aim is not simply to print notes or abolish an institution; it is to build a durable operating system for public money.

Core proposal

Authorize the U.S. Treasury to issue modern United States Notes (Greenbacks), in paper and digital forms, as non-interest-bearing legal tender. Set a statutory price-stability and employment mandate; assign issuance decisions to a rules-bound, independently audited Monetary Issuance Council within Treasury; retain Treasury bills as interest-bearing securities for public borrowing, collateral and liquidity operations.

The policy package at a glance

Component	Proposed design
Currency	Treasury-issued Greenbacks; non-interest-bearing, legal tender, dollar-for-dollar convertible with existing Federal Reserve currency during transition.
Issuance authority	Congress defines the mandate and guardrails. A Treasury-based Monetary Issuance Council publishes a regular issuance envelope and explains each material decision.
Treasury bills	Remain short-term, interest-bearing government debt. They fund borrowing needs and can be used in transparent liquidity operations; they are not themselves currency.
Banks and deposits	Bank deposits remain private bank liabilities unless Congress separately reforms bank money creation. Greenbacks replace base currency; they do not, by themselves, abolish bank lending or deposit creation.
Transition	Phased migration of notes, reserves, payment settlement, emergency liquidity, public-debt operations and regulatory responsibilities before final repeal.

Important distinction

Greenbacks and Treasury bills are different instruments. Greenbacks are currency with no maturity and no interest payment. Treasury bills are debt claims that mature and pay a return. A workable system can use both: Greenbacks for the monetary base and bills for public borrowing, savings demand, collateral and liquidity management.

Current law already illustrates the legal gap the proposal must close: 31 U.S.C. § 5115 authorizes Treasury currency notes but limits the amount outstanding to $300 million and prohibits them from being held or used as reserves. Congress would need to repeal those limits and enact a new framework, not merely direct Treasury to expand issuance under existing law. [1]

1. Legal and institutional starting point

The United States has a history of Treasury-issued paper money. During the Civil War, Congress authorized non-interest-bearing Demand Notes in 1861 and United States Notes in 1862; these became associated with the name “greenbacks.” The Federal Reserve Act of 1913 later created the framework under which Federal Reserve Notes became the country's principal paper currency. [2][3]

The proposal is therefore a new statutory settlement, not a claim that the Treasury currently has unrestricted authority to issue unlimited currency. Existing law authorizes limited United States currency notes; the proposed law would materially amend that authority and its constraints. [1]

Legislative changes required

- Repeal or comprehensively replace the Federal Reserve Act of 1913 and subsequent provisions that assign currency issuance and monetary-policy powers to the Federal Reserve System.
- Amend 31 U.S.C. § 5115 by removing the $300 million cap and the prohibition on using Treasury currency notes as reserves; establish a new statutory Greenback authority, accounting standard and issuance framework. [1]
- Amend 31 U.S.C. § 5103 and related provisions as needed to define the status of new Greenbacks and ensure continuity of legal-tender treatment during and after conversion. [4]
- Transfer or reassign Federal Reserve operating functions by statute, while retaining relevant bank-safety, consumer-protection and deposit-insurance laws unless separately amended.
- Specify legal ownership, treatment and accounting of Federal Reserve assets and liabilities during transition, including Treasury securities held by the Federal Reserve, reserve balances, currency in circulation and the Treasury's account.

Principles for the replacement regime

Public issuance, transparent constraint. The Treasury would become the legal issuer of Greenbacks, but an administration could not increase the money stock at will. The rules would be written by Congress, administered through a published process, audited independently and subject to judicial review for statutory compliance.

Price stability and sustainable employment. The statute should set explicit objectives and require the Council to report how the quantity and timing of issuance relate to inflation, output, employment, payment demand and financial stability. The present Federal Reserve framework has statutory monetary-policy objectives including maximum employment and stable prices; the proposed system would need to carry these goals into its own law. [5]

A public-money issuer is not a substitute for competent public finance. Taxes, appropriations, debt issuance and monetary issuance would remain distinct legal processes. New money must not become an opaque route for avoiding budget votes or obscuring the distributional effects of inflation.

Key legal point

A repeal bill should not take effect on a single date unless successor arrangements are operational. Currency conversion, payment settlement, bank liquidity and fiscal-agent services are essential public infrastructure.

2. How a Treasury Greenback system would work

The system would give Greenbacks a defined role as public base money while keeping Treasury bills as a separate interest-bearing asset. Three channels of issuance should be distinguished in statute.

A. Conversion issuance: replace existing currency

During the transition, Treasury would issue Greenbacks one-for-one in exchange for Federal Reserve Notes presented through banks and cash-distribution channels. Existing notes would remain legal tender until exchanged or retired according to a long-dated schedule. Conversion itself would not count as net new money creation; it changes the issuer and legal form, not the amount of currency held by the public.

B. Net new Greenback issuance: add money under a rule

Any net increase beyond conversion would be governed by a published issuance envelope. The Council would assess currency demand, bank settlement needs, inflation relative to the statutory target, the output and employment outlook, and risks of excessive credit or asset-price growth. The annual envelope would be published alongside the federal budget, but monetary issuance would be reported separately from tax receipts and borrowing.

To preserve congressional control over spending, money created for direct public expenditure could enter circulation only pursuant to a separate appropriation or statutory Greenback authority. A proposal for new spending would state whether it is tax-financed, debt-financed or Greenback-financed, and the estimated implications for the issuance envelope. This makes the fiscal choice visible rather than hiding it inside a monetary operation.

C. Liquidity operations: add or absorb money

The Treasury could conduct disclosed purchases and sales of eligible Treasury bills and other approved public securities through a public-market operations desk. Purchasing bills with newly issued Greenbacks would add base money; selling bills or issuing additional bills and receiving payment would absorb balances from the private sector, subject to the precise banking and settlement arrangements. Operations would have to be designed with the debt-management office so that routine financing decisions do not unpredictably undermine the monetary stance.

Instrument map

Instrument	Legal/economic character	Main purpose
Greenbacks	Non-interest-bearing currency; no maturity	Public base money, cash and settlement balances under statute
Treasury bills	Short-term, interest-bearing federal debt	Borrowing, safe collateral, market liquidity and savings instrument
Bank deposits	Liabilities of commercial banks	Household and business transactions; created/retired through bank balance-sheet activity
Emergency liquidity	Secured, temporary lending facility	Address system-wide liquidity stress without routine fiscal transfers or unbounded guarantees

What Greenbacks would not automatically do

Treasury currency issuance would not automatically eliminate private-bank deposit creation, guarantee full employment, remove interest rates, or make government debt costless. Those outcomes would require further legislation or are not assured. Greenback balances could reduce the need to pay interest on some monetary liabilities, but that accounting saving must be weighed against potential inflation costs, transition costs and the market value of Treasury assets transferred or used in the new framework.

3. Replacing the Federal Reserve's operating functions

The Federal Reserve performs more than currency issuance. It conducts monetary policy, supports financial stability, supervises some institutions, supplies payment and settlement services, and serves as a liquidity provider in stress. A repeal proposal must assign each function to a successor body. [6]

Function today	Successor design	Transition requirement
Monetary policy	Treasury-issued Greenbacks under statutory mandate and Monetary Issuance Council rules	Publish targets, forecast assumptions, meeting records, votes and post-decision reviews
Currency production and distribution	Treasury and Bureau of Engraving and Printing issue notes; contracted secure distribution network	Maintain cash supply, anti-counterfeiting, note replacement and public education
Wholesale payment settlement	Public Payments and Settlement Authority, legally separate from discretionary spending offices	Replicate high-value settlement, bank account access, intraday liquidity and cyber resilience
Emergency liquidity	Treasury-administered Emergency Liquidity Facility with pre-published collateral and penalty-rate rules	Funded capacity, collateral valuation, time limits, loss-sharing and post-event disclosure
Bank supervision	Allocate supervisory duties to existing prudential agencies, with statutory coordination and clear accountability	Transfer personnel, data, examination records and enforcement powers without gaps
Deposit insurance	Keep FDIC and existing deposit-insurance framework unless Congress decides otherwise	No automatic change to insured deposits or depositor rights
Government banking and debt operations	Treasury Debt Management Office and public settlement authority, with independent operational controls	Reconcile Treasury accounts, securities settlement, auctions, collateral and reporting systems

Institutional independence without private issuance authority

A Treasury-issued system faces an unavoidable governance question: the executive branch both proposes spending and would issue money. This proposal separates these roles by statute. Congress sets the mandate, spending appropriations and emergency powers. A Monetary Issuance Council within Treasury makes rule-bound issuance decisions, supported by published staff forecasts and independent audit. The Secretary remains the legal issuer but cannot unilaterally exceed the statutory process.

The public payments authority should be operationally separate from fiscal-policy offices. Payment settlement and bank reserve administration need service continuity and technical neutrality, even when the Treasury is negotiating a budget or issuing debt. Any emergency lending should be secured, temporary and reported to Congress; extraordinary guarantees or capital injections should require separate legal authority.

No-go condition

Do not repeal the Federal Reserve Act before a successor payment-settlement network, bank-liquidity facility, supervisory allocation and currency-distribution service have passed operational tests. Institutional replacement should follow service readiness, not precede it.

4. Safeguards against inflation and political misuse

The core risk of public money issuance is not the physical act of printing notes. It is the possibility that money creation grows faster than the economy's capacity to supply goods and services, undermines confidence in the unit of account, or becomes a routine substitute for taxation and transparent borrowing. The statutory design must therefore constrain both the decision process and the use of new issuance.

Proposed safeguards

- Published mandate. Congress sets a clear medium-term price-stability objective and a sustainable-employment objective. The law defines how the objectives are measured and reviewed.
- Separate fiscal and monetary ledgers. Every Greenback issued, retired, exchanged or used in an operation is recorded in a public Greenback Account, with distinct reporting for conversion, net monetary operations and legislatively appropriated spending.
- Rule-based issuance envelope. The Council publishes a forward-looking range based on inflation trends, productive capacity, labor-market conditions, payment demand and financial stability. It must explain deviations from prior guidance.
- No unilateral executive issue. Net new direct expenditure issuance requires a specific legal authorization and appropriation. Routine issuance cannot be ordered by the President or Secretary solely to meet a near-term financing gap.
- Independent audit and disclosure. The Government Accountability Office audits the Greenback Account, methodology, reserve or settlement balances, market operations and any emergency facility. Material operations are disclosed promptly, with narrowly tailored delay for genuine market-sensitive information.
- Automatic review triggers. Persistent overshooting of the inflation objective, a rapid fall in currency demand, a sharp currency depreciation or repeated extraordinary issuance triggers a public review and a formal report to Congress.
- Emergency powers expire. Temporary emergency lending or exceptional issuance authority expires after a fixed period unless Congress renews it. Beneficiaries, collateral, losses and repayments are reported after the immediate crisis.

Potential correction tools

If money growth becomes inconsistent with the mandate, the system needs lawful ways to absorb balances: reverse market operations, changes in Treasury bill supply, tax measures, or a pause in net new Greenback issuance. No single tool is costless. Tax increases and spending cuts affect aggregate demand; bill issuance adds interest-bearing debt and can raise yields; market sales can affect asset prices and bank funding. These trade-offs should be published rather than treated as mechanical accounting.

The proposal should reject a promise that Greenback issuance is automatically non-inflationary or that it can permanently eliminate public borrowing costs. The relevant test is whether the legal and operational framework maintains purchasing-power stability, supports payments, and makes the fiscal consequences of public choices transparent.

5. Transition plan

A multi-year transition is necessary because the Federal Reserve is deeply embedded in the currency, banking, payments and government-debt systems. The following sequence is illustrative; actual timing should depend on verified operational readiness and congressional assessment.

Phase	Indicative timing	Required work	Exit test
I. Legislation and audit	Months 0-12	Pass Greenback Act; map all Fed functions, assets, liabilities, contracts, systems and staff; publish opening balance-sheet and legal transition plan.	Independent audit and function-by-function transfer plan accepted by Congress.
II. Build and test	Years 1-2	Create Treasury Greenback Bureau, Monetary Issuance Council and Payments and Settlement Authority; test cash exchange, wholesale payments, account access, cyber resilience and emergency liquidity.	Parallel operations pass end-to-end stress tests and independent cyber/continuity reviews.
III. Parallel issue	Years 2-3	Begin capped, dollar-for-dollar conversion; keep Federal Reserve Notes legal tender. Run published monetary operations in shadow or limited-live mode; maintain the Fed as a transition operator.	Currency conversion, bank funding and settlements remain orderly through multiple high-volume periods and stress simulations.
IV. Function transfer	Years 3-4	Transfer payment settlement, currency issuance, government accounts, approved liquidity facilities, debt-operation interfaces and supervisory responsibilities according to statute.	Successor agencies demonstrate adequate liquidity, capital, staffing, legal authority and tested recovery procedures.
V. Final repeal	After readiness review	Commence final repeal provisions, complete reconciliation of legacy liabilities, continue exchange of old notes and publish the final transfer account.	Congress certifies that all mandatory successor functions are operational and there are no unresolved payment or legal-tender gaps.

Legacy balance sheet and conversion

The Act should require an independent opening balance-sheet audit and a statutory method for handling Federal Reserve Notes, reserve balances, Federal Reserve-held Treasury securities and any other relevant assets and liabilities. A dollar-for-dollar conversion of public currency should not be confused with a one-for-one conversion of every Federal Reserve liability: bank reserve balances are settlement assets and require a separate legal and accounting treatment.

Old Federal Reserve Notes should remain valid during a long transition, with no compulsory haircut or deadline that would disrupt ordinary commerce. The Treasury would publish the exchange mechanics, the rights of holders and banks, treatment of damaged or lost notes, and the status of foreign-held dollars.

Continuity provisions

- Guarantee uninterrupted payment settlement and access to deposits throughout the transition.
- Preserve contracts, collateral claims, bank charters, deposit-insurance protections and lawful private debts unless expressly amended by Congress.
- Provide a transparent dispute-resolution process and prohibit retrospective conversion of dollar claims at less than par.

6. Benefits claimed, risks and tests

The greenback approach has a coherent public-money rationale: the legal issuer would be the federal government, and the costs and constraints of money creation would be subject to explicit statutory accounting. Whether this arrangement performs better than the current structure is an empirical and institutional question. The proposal should be evaluated against measurable outcomes rather than presumed results.

Question	Potential advantage	Risk / limitation
Interest expense	Non-interest-bearing Greenbacks could reduce interest paid on the portion of public money held as currency or settlement balances.	Savings depend on the transition balance sheet and could be offset by inflation costs, bill yields, operational expense or risk premiums.
Democratic accountability	Currency issuance would be explicitly grounded in a statute and transparent public ledger.	Executive control over issuance can intensify short-term political pressure; formal limits and independent reporting are essential.
Price stability	A published issuance rule and audit can make the process more legible.	No rule eliminates forecasting errors, supply shocks, financial cycles or pressure to over-issue. Credibility would have to be earned.
Financial stability	A publicly mandated liquidity facility could provide a clear framework for systemic emergencies.	Removing the Fed without an adequately funded successor could create a dangerous liquidity gap; emergency support can also encourage risk-taking.
Bank money	Greenbacks establish an explicit public base-money instrument.	Commercial banks would still create deposits through lending unless a distinct sovereign-money banking reform is enacted.
Treasury bills	Bills remain marketable instruments for borrowing, collateral and balance-sheet management.	Heavy use of bills to absorb money could increase rollover exposure or influence short-term rates; debt and monetary operations must coordinate.

Suggested performance scorecard

Measure	What to monitor	Reporting frequency
Purchasing power	Inflation relative to statutory objective; inflation expectations; persistent deviations	Monthly / quarterly
Real economy	Employment, output, productivity and credit conditions; distinguish cyclical from structural changes	Quarterly
Monetary operations	Gross issue, net issue, retirement, conversion, bill purchases/sales and settlement balances	Monthly
Financial resilience	Payment-system availability, liquidity stress indicators, emergency-facility use and bank failures	Monthly / immediate incident reports
Fiscal transparency	Interest expense, maturity structure, direct Greenback appropriations, distribution of any seigniorage	Quarterly / annual audit

The government should publish a baseline assessment before transition and independent reviews at years two, four and six. Congress should retain authority to revise the mandate if measured outcomes depart materially from the statutory objectives.

7. Outline of a Greenback Monetary Reform Act

The following is a policy outline for legislative drafting, not operative statutory language.

Title I - United States Greenback currency

- Create a statutory definition of United States Greenbacks as non-interest-bearing obligations of the United States, payable in lawful currency and designated legal tender for debts, taxes and public dues.
- Authorize the Treasury to issue paper and electronic/digital forms, establish denominations and security standards, and maintain a public register of issuance and retirement.
- Amend 31 U.S.C. § 5115 to remove the $300 million limit and current reserve prohibition, replacing them with the Greenback Act's authority, reporting and governance rules. [1]

Title II - Monetary mandate and issuance process

- Establish a Monetary Issuance Council within Treasury with staggered terms, conflict-of-interest rules, published decisions and a fixed statutory mandate focused on price stability and sustainable employment.
- Require a quarterly monetary report, annual issuance envelope, public minutes and a published assessment of inflation, employment, output, currency demand and financial stability.
- Create separate authorization for direct Greenback-financed expenditure. Each use requires a specific appropriation or other explicit congressional authority, and must be reported separately from taxes and borrowing.

Title III - Treasury bills and public debt

- Preserve Treasury bills as interest-bearing debt. Clarify the relationship between debt auctions, liquidity operations, public-market purchases and the Greenback Account.
- Require joint operational protocols between the debt-management office and the monetary operations desk, while preserving separate reporting for fiscal financing and monetary implementation.

Title IV - Payments, liquidity and prudential oversight

- Create or designate a public Payments and Settlement Authority with statutory continuity, access, cybersecurity, audit and recovery obligations.
- Establish an Emergency Liquidity Facility for eligible institutions, secured by pre-defined collateral, with pricing, maturity limits, loss allocation and after-action reporting.
- Reassign Federal Reserve supervisory and consumer-protection duties to designated agencies; preserve deposit-insurance arrangements unless separately amended.

Title V - Transition and accountability

- Create a transition authority and require audited opening/closing balance sheets, a legal map of every transferred function, and a public readiness certificate before final repeal.
- Preserve existing Federal Reserve Notes as legal tender during conversion; specify exchange procedures, no-haircut protection, treatment of old contracts and settlement balances.
- Require independent GAO audits, congressional hearings, emergency sunsets and a periodic statutory review of the issuance regime.

Drafting rule

Repeal and transfer provisions should be conditional: no core Federal Reserve function may terminate until Congress or a designated independent auditor certifies that the lawful successor is operational and the relevant service has passed its readiness tests.

Conclusion

A Treasury Greenback system would make public issuance of base currency an explicit statutory power. The central design question is how to combine that power with safeguards that protect purchasing power, preserve payments and financial stability, and distinguish public money creation from discretionary fiscal spending.

The proposed settlement is not “replace the Fed with Treasury bills.” It is: replace Federal Reserve currency issuance with Treasury-issued Greenbacks; retain Treasury bills as interest-bearing debt and market instruments; create a transparent issuance rule; and transfer the Federal Reserve's essential operating functions only after successor systems are ready. The system could reduce interest expense on some public monetary liabilities, but it does not make borrowing unnecessary or guarantee inflation-free finance.

The guiding principle is simple: public money should be publicly authorized, transparently accounted for and bounded by a credible monetary mandate. Whether the proposed design delivers better outcomes must be tested through law, operational readiness, independent audit and observed economic performance.

Selected sources and legal references

[1] U.S. Code, Title 31, § 5115, “United States currency notes.” Current law authorizes Treasury currency notes, caps them at $300 million outstanding and bars their use as reserves. uscode.house.gov - 31 U.S.C. § 5115

[2] U.S. Currency Education Program, “The History of American Currency.” Historical notes on the 1861 Demand Notes, 1862 United States Notes and the Federal Reserve Act of 1913. uscurrency.gov - History of American Currency

[3] Federal Reserve History, “National Banking Acts of 1863 and 1864.” Historical discussion of Civil War financing and the Legal Tender Act of 1862. federalreservehistory.org - National Banking Acts

[4] U.S. Code, Title 31, § 5103, “Legal tender.” Current legal-tender status of U.S. coins and currency, including Federal Reserve Notes. uscode.house.gov - 31 U.S.C. § 5103

[5] Board of Governors of the Federal Reserve System, “Section 2A. Monetary policy objectives.” Statutory language setting the Federal Reserve's current goals. federalreserve.gov - Section 2A

[6] Congressional Research Service, “Introduction to Financial Services: The Federal Reserve.” Summary of Federal Reserve responsibilities, including monetary policy, lender of last resort, supervision and payment systems. EveryCRSReport - IF10054

Document status: Policy design proposal for discussion. It describes a possible legislative framework and does not claim that Treasury currently has authority to undertake the proposed issuance at scale. Legal drafting, balance-sheet accounting and independent macroeconomic assessment would be necessary before implementation.